

- a) Determine disposable income at equilibrium national income (05 Marks)
 - b) What is the gap between Saving and Investment at equilibrium national income (05 Marks)
 - c) What is the size of the deficit in the government budget? (05 Marks)
 - d) Calculate the import multiplier and interpret it (05 Marks)
- 3.
- a) "The effectiveness of monetary policy and fiscal policy depends on slopes of the IS and LM curves" Discuss this statement using suitable graphs (10 Marks)
 - b) Graphically derive the aggregate demand function with the help of IS – Lm analysis (10 Marks)
- 4.
- a) Discuss the theoretical background of Keynesian and Classical Aggregate Supply functions (10 Marks)
 - b) What are the factors behind the slope of aggregate demand and supply functions? (10 Marks)
5. Write short notes on the following macroeconomic concepts
- a) The liquidity trap (05 Marks)
 - b) Macroeconomic equilibrium (05 Marks)
 - c) Cost-push inflation (05 Marks)
 - d) Real Exchange Rate (05 Marks)



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SABARAGAMUWA UNIVERSITY OF SRI LANKA
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FACULTY OF SOCIAL SCIENCES & LANGUAGES

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YEAR III SEMESTER II EXAMINATION - August 2024

INTERMEDIATE MACRO ECONOICS
ECO 221 (3)

Time allowed - TWO (02) hours.

Answer Four (04) questions including question no 01.

- 1 The following are some of the macroeconomic information for a hypothetical economy (Values are in Rs. Million)

$$T = 40 + 0.2Y$$

$$G = 40$$

$$\text{Transfer Payment} = 25$$

$$\text{Investment Function} = 100 - 85i$$

$$\text{Export} = 25$$

$$\text{Import} = 20 + 0.25y$$

$$\text{Transaction and Precautionary demand for money} = 0.25Y$$

$$\text{Speculative demand for money} = -200i$$

$$\text{Colombo Consumer price Index} = 100$$

$$\text{Nominal money supply} = 1500$$

Consumption	Saving
425	75
500	100
575	125

- a) Determine equilibrium interest rate and level of national income when both goods and money markets are in equilibrium (10 Marks)
- b) What is the crowding out effect (in Rs Million) of an increase in government expenditure by Rs. 25 million? (10 Marks)
- c) Measure the fiscal policy multiplier and monetary policy multiplier of this economy and interpret (10 Marks)
- d) What is the new equilibrium of interest rate and level of national income if the marginal propensity to saving was decreased from 25% to 20%? (10 Marks)

2. The following macroeconomic variables refer to the Sri Lankan economy.

Marginal Propensity to Saving is 25% of the Disposable Income

Marginal Propensity to Tax is 20% of the Income

Marginal Propensity to Import is 30% of the Income

Autonomous Consumption = 120

Autonomous Import = 30, Transfer Payment = 35

Export = 50, Government Expenditure = 40, Investment = 60

(Values are in Rs Million)